

ECON 0100 | Vignette A2 | Advantages

Colin Creevey can bake 20 cornish pasties (P) or 5 cauldron cakes (C) in one day. Katie Bell also bakes cornish pasties and cauldron cakes at a neighboring bakery. She can bake 15 pasties or 8 cakes in one day.

Q1 | Absolute Advantage

Set up a production table with both Colin and Katie's output per day. Who has the absolute advantage (AA) in pasties? In cakes?

AA in P: _____

AA in C: _____

Q2 | Comparative Advantage

Set up an opportunity cost table with Colin and Katie's opportunity costs for each good. Who has the comparative advantage (CA) in pasties? In cakes?

CA in P: _____

CA in C: _____

Q3 | Better at Both

Suppose Katie buys a new oven and can now bake 25 pasties or 8 cakes in one day. Update both tables. Who has the comparative advantage in each good?

CA in P: _____ CA in C: _____